WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

SOUTH AFRICA

Africa

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Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Gauteng (Johannesburg / Pretoria)	Commercial and financial heart of the country, home to the JSE, major banks and the seat of government in Pretoria	Financial services, technology, professional services, advanced manufacturing
Cape Town / Western Cape	Second economic hub with a strong technology, tourism and agri-export base	Technology and digital services, tourism, agri-processing, wine and fruit exports
Durban / KwaZulu-Natal (incl. Dube TradePort SEZ)	Durban Container Terminal Pier 2 handles around 46% of national container volumes and is being upgraded under a 25-year, R11 billion partnership with ICTSI	Port logistics, warehousing, automotive, air cargo
Richards Bay Industrial Development Zone	Deep-water bulk port with a pipeline of investor projects valued at around R247 billion	Energy, green hydrogen and gas, minerals beneficiation, bulk logistics
Tshwane Automotive SEZ	Anchored by Ford's R16 billion expansion, supporting more than 3,300 direct jobs	Automotive and component manufacturing
Bushveld Complex (North West / Limpopo)	Hosts most of the world's platinum-group metal reserves and a deep mining-services cluster	PGMs, chrome, mining equipment and services
Special Economic Zones (13 designated)	Zones in eight of nine provinces hosting 224 operating companies and R31.7 billion of investment, with 28,821 direct jobs	Manufacturing, logistics, agro-processing, energy

INVESTOR ENTRY ROUTES

- InvestSA (within the Department of Trade, Industry and Competition) runs national and provincial One Stop Shops for registration, permits and incentive guidance
- Protection of Investment Act 2015, giving foreign investors the same legal protection as domestic investors, with recourse to domestic courts and mediation
- Special Economic Zones (13 designated) offering fiscal and non-fiscal incentives for qualifying manufacturing and export projects
- Exchange control administered by the SARB's Financial Surveillance Department through authorised dealer banks; dividends, profits and capital can generally be repatriated once investments are properly recorded
- Renewable energy and transmission procurement programmes, alongside private wheeling of electricity, opening generation and grid investment to private capital
- Third-party access to the freight rail network via the Transnet Rail Infrastructure Manager, which has allocated slots to 11 private train operators, and port partnerships such as Durban Pier 2

- Johannesburg Stock Exchange, Africa's deepest capital market, for listings, debt issuance and portfolio entry

MARKET-ENTRY OBSERVATION

South Africa in October 2026 offers Africa's most sophisticated financial and industrial base together with improving reform momentum. GDP grew 1.1% in 2025, a three-year high, and dipped a modest 0.2% in Q2 2026 after six consecutive quarters of growth; the South African Reserve Bank projects 1.2% for 2026, with a second-half rebound and growth of around 2% over the medium term. Credit momentum is positive: S&P upgraded the sovereign to BB in November 2025 and Fitch followed in June 2026, its first upgrade in almost 21 years, after South Africa exited the FATF grey list in October 2025. The February 2026 Budget projected gross debt stabilising at 78.9% of GDP before declining, supported by primary surpluses. A new 3% inflation target adopted in late 2025 anchors policy, and the sixth South Africa Investment Conference in March 2026 secured a record R890 billion in pledges, adding to R1.5 trillion from earlier rounds.

South Africa's central structural challenge is converting this stability into faster, job-rich growth: unemployment stood at 33.6% in Q2 2026. The binding constraints of recent years, electricity and logistics, are now being addressed directly. Eskom's energy availability factor rose to around 65% in FY2026 and the grid recorded 341 consecutive days without load shedding by April 2026, while rail is opening to private operators and Durban's main container terminal is being modernised with private capital. External headwinds from the 2026 oil-price shock have been managed with policy discipline: inflation was 4.4% in August, and the SARB raised the repo rate to 7.25% in September to keep expectations anchored as the rand remained resilient. For investors, the reform agenda creates direct openings in energy, transmission, logistics and the skills-intensive industries needed to lift employment.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
High unemployment	Unemployment was 33.6% in Q2 2026 (youth 47.4%), weighing on domestic demand and social cohesion	Labour-intensive projects, skills partnerships and SEZ incentives align strongly with government priorities and improve project support
Logistics and port performance	Rail and port inefficiencies have constrained exports, though third-party rail access and the Durban Pier 2 partnership are now under way	Private rail operation, port, warehousing and corridor investments are opening up as a direct result of reform
Electricity supply	Load shedding has been absent for an extended period and plant availability has improved, though grid capacity remains tight in some regions	Self-generation, wheeling and transmission programmes give investors both supply security and a large energy-investment market
Public debt and sub-investment-grade rating	Gross debt is near 79% of GDP and ratings sit two notches below investment grade, but debt is projected to stabilise and two agencies upgraded in the past year	Long debt maturities and low foreign-currency exposure limit risk; further upgrades would lower funding costs across the economy
US trade policy	A 12.5% US tariff applies since July 2026, though exemptions cover around 80% of exports to the US; AGOA eligibility is under review	Diversify through AfCFTA, SADC and EU access, and use the exempt categories, including critical minerals and PGMs
Inflation and interest rates	The 2026 oil shock has lifted fuel costs and prompted two 25 bps rate rises to 7.25%	The SARB expects inflation to return toward 3% by end-2027, opening scope for later rate cuts; hedge rand exposure as standard
Regulatory requirements (B-BBEE, exchange control)	Broad-Based Black Economic Empowerment rules affect licensing and public procurement, and cross-border flows run through exchange-control reporting	Engage local counsel early; equity-equivalent programmes and authorised dealer banks provide established compliance routes

INVESTOR RISK NOTE

South Africa's risk profile is that of a deep, institutionally strong economy working through well-identified structural constraints. Its independent central bank, credible National Treasury, sophisticated banks and capital markets, and established courts give investors a level of predictability rare among emerging markets. Recent progress is concrete: FATF grey-list exit in October 2025, sovereign upgrades from S&P and Fitch, extended freedom from load shedding, and the opening of rail and ports to private operators. The main considerations are slow growth and high unemployment, public debt near 79% of GDP, and exposure to external shocks such as the 2026 oil-price rise and US tariff changes; each is being met with fiscal consolidation, an inflation-targeting framework anchored at 3%, and active trade diversification. Investors should apply standard rand hedging and early regulatory advice on B-BBEE and exchange control, while positioning to benefit from a reform cycle that is steadily lowering the cost of doing business.

MARKET ACCESS

South Africa belongs to the Southern African Customs Union (SACU) and the Southern African Development Community (SADC), has been a WTO member since 1995, and is a state party to the African Continental Free Trade Area, giving manufacturers a platform into a continental market. It trades with the EU under the EU–SADC Economic Partnership Agreement and with the UK under a successor agreement, and is a member of BRICS and the G20. AGOA preferences have been extended to 31 December 2026, with a further extension to 2028 advancing in the US Congress, while a 12.5% US tariff applies to non-exempt goods. Main export markets include China, the EU, the US and neighbouring SADC states, and its ports of Durban, Richards Bay, Cape Town and Ngqura serve as gateways for much of Southern Africa's trade.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
The Presidency (President Cyril Ramaphosa)	Leads the Government of National Unity's growth agenda and, with National Treasury, Operation Vulindlela for structural reform	Primary reference point for reform priorities and the Investment Conference process
InvestSA (Department of Trade, Industry and Competition)	National investment promotion agency and One Stop Shop for permits, incentives and SEZ access	Standard first point of contact for market entry and incentive guidance
South African Reserve Bank	Independent central bank; sets the repo rate under the 3% inflation target and administers exchange control	Relevant for monetary outlook, capital flows and banking-sector matters
National Treasury	Sets fiscal policy and the debt path; tables the Medium-Term Budget Policy Statement and coordinates infrastructure finance and PPPs	Key counterpart for public-private partnership and infrastructure engagement
Transnet (incl. Transnet Rail Infrastructure Manager)	State freight rail and port operator now implementing third-party rail access and port partnerships	Essential partner for logistics, rail-operator and port investment
Eskom and the National Transmission Company South Africa	State utility and transmission operator central to grid expansion and private generation connections	Key counterpart for energy generation, wheeling and transmission projects
Industrial Development Corporation (IDC)	State development finance institution co-funding industrial, mining and energy projects	Potential co-investor and local partner for industrial ventures

CURRENT INTERNATIONAL BUSINESS CHANNELS

Business Unity South Africa (BUSA) and the Black Business Council are the main national business voices, alongside sector bodies such as the Minerals Council South Africa, while Business Leadership South Africa works with government on the joint reform agenda. Foreign investors are well served by the American Chamber of Commerce in South Africa, the UK–South Africa Chamber of Commerce and European bilateral chambers. The annual South Africa Investment Conference and the Mining Indaba in Cape Town are major dealmaking platforms. The IDC, the Development Bank of Southern Africa, the IFC, the African Development Bank and British International

Investment are active co-financiers, and Johannesburg's financial community provides a strong base for regional structuring across Africa.

INVESTOR PROFILE BEST SUITED

South Africa suits investors seeking a sophisticated, well-regulated base with continental reach: energy and infrastructure investors targeting renewables, transmission, storage and private rail and port operations opened by reform; mining and processing investors drawn by world-leading platinum-group metal, manganese and chrome resources; manufacturers, particularly automotive and agri-processing, using SEZ incentives and AfCFTA access; and financial-services, technology and private-equity investors using Johannesburg and Cape Town as regional hubs. Patient, long-term capital with local partners and a clear employment and skills contribution is best placed to benefit from the current reform cycle.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage InvestSA and the relevant provincial One Stop Shop
Open early dialogue on incentives, permits and SEZ options, and on participation in the South Africa Investment Conference pipeline.

STEP 2: Take early legal advice on B-BBEE, exchange control and sector licensing
Structure ownership, procurement and capital flows from the outset to secure licences and smooth repatriation through authorised dealer banks.

STEP 3: Assess reform-driven opportunities in energy and logistics
Review transmission, generation and wheeling programmes and Transnet's third-party rail access and port partnerships for direct or co-investment roles.

STEP 4: Build rate, currency and trade scenarios into planning
Hedge rand exposure and model US tariff and AGOA outcomes, using SADC, AfCFTA and EU access to diversify export markets.

STEP 5: Partner with local DFIs and established businesses
Use the IDC, DBSA and experienced local partners to share risk, meet empowerment objectives and accelerate execution.